

CONTOSO CORP

Paid Time Off & Leave of Absence Policy

Human Resources Division | Effective: January 1, 2024

Policy ID	CON-HR-002	Effective Date	January 1, 2024
Last Reviewed	November 2023	Policy Owner	VP, Total Rewards

1. Overview

Contoso Corp recognizes that employees need time away from work to rest, attend to personal matters, and maintain overall well-being. This policy describes all forms of paid and unpaid leave available to regular full-time and part-time employees. Part-time employees accrue PTO on a pro-rated basis tied to their scheduled weekly hours.

2. PTO Accrual Schedule

PTO accrues each pay period (bi-weekly) starting on the employee's first day of employment. Accrued but unused PTO is paid out upon separation per applicable state law.

Years of Service	Annual PTO Days	Accrual per Pay Period	Max Carryover
0 – 2 years	15 days (120 hrs)	4.62 hrs	20 days
3 – 5 years	20 days (160 hrs)	6.15 hrs	25 days
6 – 10 years	25 days (200 hrs)	7.69 hrs	30 days
11+ years	30 days (240 hrs)	9.23 hrs	35 days

3. Holidays

Contoso Corp observes the following 11 paid holidays per calendar year. When a holiday falls on a weekend, the observed day will be announced by HR in Q4 of the prior year.

- New Year's Day (January 1)
- Martin Luther King Jr. Day (3rd Monday, January)
- Presidents' Day (3rd Monday, February)
- Memorial Day (Last Monday, May)
- Juneteenth National Independence Day (June 19)
- Independence Day (July 4)
- Labor Day (1st Monday, September)
- Thanksgiving Day (4th Thursday, November)
- Day After Thanksgiving (Friday)
- Christmas Eve (December 24)
- Christmas Day (December 25)

4. Sick Leave

All employees accrue sick leave at a rate of 1 hour per 30 hours worked, up to a maximum of 56 hours (7 days) per year. Sick leave may be used for the employee's own illness or injury, to care for an immediate family member, or for preventive care appointments. Unused sick leave does not carry over or get paid out at separation. In jurisdictions with mandatory paid sick leave laws that exceed this policy, the applicable law governs.

5. Family & Medical Leave (FMLA)

Eligible employees (12 months of service and 1,250 hours worked in the prior 12 months) are entitled to up to 12 weeks of unpaid, job-protected leave per year under the Family and Medical Leave Act for qualifying reasons including: serious health condition of the employee or immediate family member, birth or adoption of a child, or qualifying military exigency. FMLA leave may run concurrently with paid leave. Employees must provide 30 days' advance notice where foreseeable.

6. Parental Leave

Contoso Corp provides paid parental leave beyond FMLA entitlements as follows:

- Primary caregiver: 16 weeks fully paid, commencing on birth/adoption date.
- Secondary caregiver: 6 weeks fully paid.
- Adoption or foster placement: same schedule as birth.
- Leave must be taken within 12 months of birth or placement.

7. Bereavement Leave

Relationship	Paid Leave Days
Spouse / Domestic Partner	5 days
Child (including step/foster)	5 days
Parent / Step-parent / In-law	3 days
Sibling / Grandparent	3 days
Extended family / close friend	1 day
Pregnancy loss	Up to 5 days

8. Requesting Leave

PTO requests should be submitted through the Workday HR portal with at least 5 business days' advance notice for planned absences. For unplanned absences (illness, emergencies), notify your manager and HR as early as possible, no later than the start of your scheduled shift. Extended leave (FMLA, parental, medical) requires completion of the applicable request form submitted to hr@contosocorp.com.